MERIDIAN & ASSOCIATES LLP

Audit & Assurance Practice

Audit Partner Rotation Policy

Mandatory Rotation, Cooling-Off, and Transition Procedures for SEC Registrant Engagements

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1. Regulatory Foundation

This policy implements the mandatory audit partner rotation requirements established by Section 203 of the Sarbanes-Oxley Act of 2002, SEC Rule 2-01(c)(6) of Regulation S-X, and PCAOB Rule 3211 (Auditor Reporting of Certain Audit Participants). These requirements are designed to safeguard auditor objectivity and independence by limiting the tenure of key engagement partners on SEC registrant audit engagements.

The firm also voluntarily applies the rotation principles set forth in the IESBA Code of Ethics for engagements with non-registrant public interest entities (PIEs) where the firm deems it appropriate to enhance audit quality and public confidence.

2. Rotation Periods and Cooling-Off Requirements

2.1 Lead Engagement Partner

The lead engagement partner (also referred to as the 'engagement partner' or 'signing partner') must rotate off the engagement after serving in that capacity for five consecutive fiscal years. Following rotation, the partner is subject to a five-year cooling-off period during which the partner may not serve in any capacity on the engagement, provide consultation to the engagement team, or maintain direct contact with the audit client's management or audit committee regarding audit-related matters.

2.2 Engagement Quality Reviewer

The engagement quality reviewer (EQR, also known as the concurring review partner) is subject to the same five-year rotation and five-year cooling-off requirements as the lead engagement partner. The EQR's tenure clock runs independently from the lead engagement partner's tenure.

2.3 Other Audit Partners

Other audit partners who serve on the engagement in a significant capacity (e.g., partners responsible for major subsidiaries, divisions, or geographic regions, or partners responsible for significant accounting or auditing matters) are subject to a seven-year rotation period followed by a two-year cooling-off period. The engagement partner, in consultation with the National Quality Board, determines which other partners meet the 'significant capacity' threshold.

2.4 Rotation Period Summary Table

Role	Max Tenure	Cooling-Off	Authority
Lead Engagement Partner	5 years	5 years	SOX Sec. 203 / Rule 3211
Engagement Quality Reviewer	5 years	5 years	SOX Sec. 203 / Rule 3211
Other Significant Partners	7 years	2 years	SEC Rule 2-01(c)(6)
Specialty Partners (Tax/IT)	7 years	2 years	Firm Policy

3. Transition Planning Procedures

3.1 18-Month Advance Planning

The Partner Rotation Committee identifies all partners approaching mandatory rotation at least 18 months in advance. The Committee, working with the relevant Regional Assurance Leader and industry sector leader, develops a succession plan that addresses:

- Identification of successor partner candidates based on industry expertise, geographic proximity, available capacity, and client relationship considerations.
- Assessment of the successor's current engagement portfolio to ensure adequate bandwidth without compromising quality on existing engagements.

- Independence clearance of the proposed successor, including review of financial interests, business relationships, and prior employment.
- Client notification strategy and timeline, including coordination with the audit committee chair.
- Knowledge transfer plan covering critical audit areas, key judgments, historical issues, and relationship dynamics.

3.2 12-Month Transition Period

During the final 12 months of the outgoing partner's tenure, the successor partner is progressively integrated into the engagement. The transition follows a structured handover:

- Months 12-9: Successor participates in planning meetings, reviews prior-year work papers for critical areas, and attends key client meetings as an observer.
- Months 9-6: Successor takes an active role in the current year's risk assessment, materiality determination, and audit strategy. The outgoing partner provides real-time mentoring and context.
- Months 6-3: Successor leads all engagement team interactions and client communications, with the outgoing partner available for consultation. Key client relationships are formally transferred.
- Months 3-0: Successor assumes full responsibility. The outgoing partner reviews the final deliverables as a quality safeguard but does not exercise decision-making authority.

4. Knowledge Transfer Protocols

The firm recognizes that loss of institutional knowledge during partner rotation poses a risk to audit quality. The following protocols are designed to mitigate this risk:

- Transition memorandum: The outgoing partner prepares a comprehensive transition memorandum covering entity background, industry-specific risks, historical audit issues and resolutions, key management personnel and communication preferences, prior regulatory findings, and critical accounting estimates and judgments.
- Critical judgments briefing: A face-to-face briefing (minimum 4 hours) between the outgoing and incoming partners covering all significant judgments made during the outgoing partner's tenure, including those related to going concern, accounting estimates, and scope of the audit.
- Root cause summaries: Documentation of any quality events (restatements, late filings, SEC comment letters, internal inspection findings) and the corrective actions taken.
- Relationship mapping: A comprehensive mapping of key client contacts, including communication styles, decision-making processes, and any known sensitivities.
- Industry knowledge repository: Updated industry briefings, peer benchmarking data, and regulatory developments maintained in the firm's knowledge management system.

5. Client Communication Templates

The firm provides standardized communication templates for partner rotation events to ensure consistent, professional messaging to audit clients. The templates include:

- Initial notification letter to the audit committee chair (delivered 12 months before rotation, jointly signed by the outgoing partner and the Regional Assurance Leader).
- Successor introduction letter (delivered 9 months before rotation, introducing the successor's qualifications, experience, and industry credentials).
- Formal transition announcement to the full audit committee (delivered 6 months before rotation, confirming the timeline and transition plan).
- Final transition confirmation letter (delivered at the point of rotation, confirming the successor's assumption of responsibilities and contact information).

6. Succession Planning for Complex Engagements

For engagements classified as 'Complex' (defined as Global Systematically Important Banks, Fortune 100 companies, entities with more than 50 reporting components, or entities in highly regulated industries such as insurance, banking, and government contracting), enhanced succession planning requirements apply:

- A dedicated Transition Oversight Partner (TOP) is appointed from the National Quality Board to supervise the transition.
- The transition period is extended to 24 months (versus the standard 12 months).
- A 'dry run' year is required: the successor partner effectively co-leads the engagement alongside the outgoing partner for the final year of tenure.
- A post-transition quality review is conducted by the National Office 6 months after the rotation event to assess whether the transition has been effective.
- The outgoing partner remains available for a 90-day consultation window following rotation (limited to knowledge transfer; the outgoing partner may not make engagement decisions).